

Data Centers in Indonesia

Market Landscape, Investments, and Fiscal Cost of Tax Incentives

Working Paper

March 2026

Indonesia Data Center Market at a Glance

Market Snapshot (2026 Baseline)

- **27** operational facilities
- **526 MW** operational capacity (baseline)
- Market value: **USD 2.81B** (2025)
- Projected: **USD 6.08B** by 2031
- IT load target: **3,560 MW** by 2030

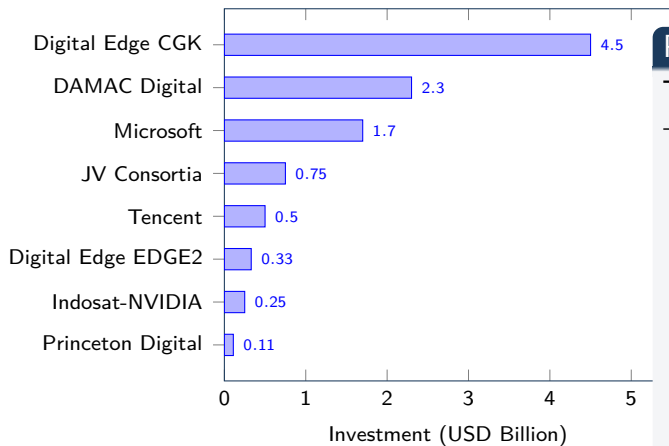
Geographic Split

- Jakarta: 56.7% market share
- Batam: fastest growth (21.7% CAGR)
- Pipeline: ~670 MW across both hubs

Top Operators by Capacity (MW)

Operator	MW
DCI Indonesia	119
Princeton Digital	120
Telkom (NeutraDC)	42
Digital Edge	29
SpaceDC	25
NTT DATA	25
EdgeConneX	7
Digital Realty	5
Gaw/Sinar Primera	5

Investment Pipeline: Over USD 11 Billion Announced



Planned Capacity Additions

Project	MW
DCI H2 Pertiwi	600
Digital Edge CGK	500
BDx Jatiluhur	500
EdgeConneX JKT	200
DAMAC Cikarang	144
PDG (JC3+Batam)	118
DayOne/INA Batam	72
STT GDC Jakarta	72
Telkom Cikarang	60
NTT JKT2A+JKT3	57

Tax Incentives and Fiscal Cost

Tax Holiday (PMK 69/2024)

- Data centers = **pioneer industry**
- **100% CIT exemption** for 5–20 years (investments > IDR 500B / USD 33M)
- + 50% reduction for 2 more years
- SEZs: **0% VAT** on equipment imports (~11% capex saving)
- 100% foreign ownership allowed

Fiscal Cost by Scenario (IDR Trillion, Cumulative)

Scenario	Total	% GDP/yr
Baseline (526 MW)	18.1	0.007%
Scenario A (2,000 MW)	53.2	0.021%
Scenario B (3,000 MW)	77.1	0.030%
Combined A + VAT	64.2	0.038%
Combined B + VAT	93.3	0.055%

But: Strong Leverage

- Historical ratio: **18.5x**
(IDR 20T incentives → IDR 370T investment)
- 15–25K direct jobs

Fiscal Cost Methodology & Key Assumptions

Cost Model Parameters

- **New build cost:** IDR 111B per MW
- **Entrant mix:** 43% GMT-subject MNEs / 57% non-GMT
- **CIT holiday:** 10 years for all new entrants
- **No new SEZ concessions** under Scenarios A or B
- **Equipment share:** 35% of total investment (VAT/duty base)
- **VAT exemption:** 11%; **Import duty waiver:** 2.5%
- **VAT/duty amortisation:** 3-year construction phase
- **GDP denominator:** IDR 22,139T (2024)

Annual % GDP Formula

$$\% \text{ GDP} = \frac{\frac{\text{CIT}_{\text{cumul.}}}{10 \text{ yr}} + \frac{\text{VAT} + \text{Duty}_{\text{cumul.}}}{3 \text{ yr}}}{\text{IDR } 22,139 \text{ T}}$$

- CIT and Super Deduction (SD) are **cumulative** over incentive periods
- SD is **excluded** from the % GDP formula (timing difference, not permanent revenue loss)
- VAT+Duty enters via the 3-year construction denominator

Scope Limitations